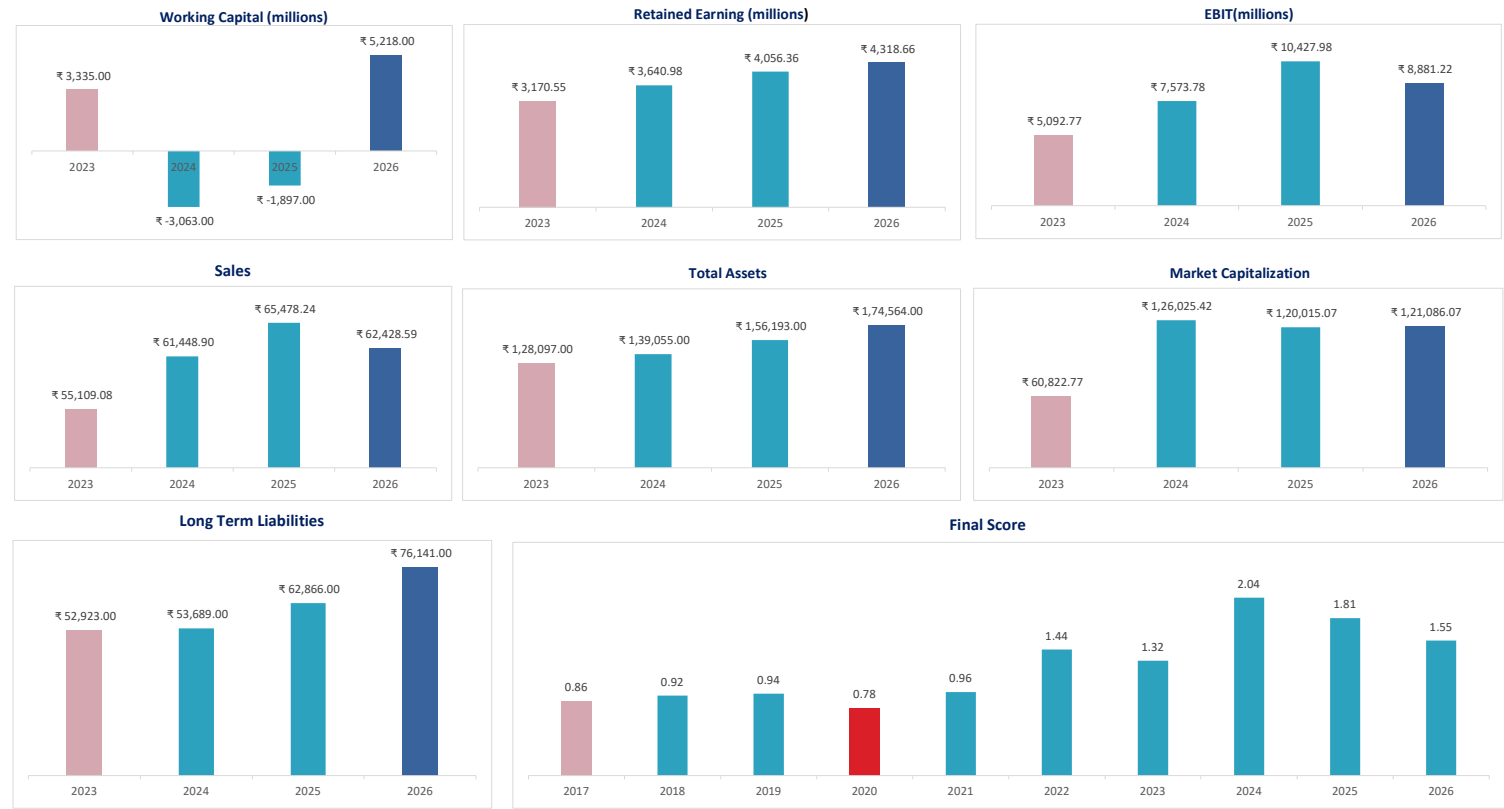


Altman's Z Score Analysis

Financial Summary



Altman's Z Score Analysis Calculation

Working Capital/ Total Assets											
	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26	
Working Capital (with Cash)	₹ 3,252.00	₹ 8,267.00	₹ 8,555.00	₹ 10,022.00	₹ 3,360.00	₹ 1,040.00	₹ 3,335.00	₹ -3,063.00	₹ -1,897.00	₹ 5,218.00	
Total Assets	₹ 82,829.00	₹ 81,891.00	₹ 84,073.00	₹ 89,674.00	₹ 98,655.00	₹ 1,12,551.00	₹ 1,28,097.00	₹ 1,39,055.00	₹ 1,56,193.00	₹ 1,74,564.00	
Working Capital/ Total Assets (A)	3.93%	10.10%	10.18%	11.18%	3.41%	0.92%	2.60%	-2.20%	-1.21%	2.99%	

Retained Earning / Total Assets											
	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26	
Retained Earning	₹ 747.98	₹ 2,259.20	₹ 2,254.01	₹ 897.16	₹ 943.33	₹ 1,596.38	₹ 3,170.55	₹ 3,640.98	₹ 4,056.36	₹ 4,318.66	
Total Assets	₹ 82,829.00	₹ 81,891.00	₹ 84,073.00	₹ 89,674.00	₹ 98,655.00	₹ 1,12,551.00	₹ 1,28,097.00	₹ 1,39,055.00	₹ 1,56,193.00	₹ 1,74,564.00	
Retained Earning / Total Assets (B)	0.90%	2.76%	2.68%	1.00%	0.96%	1.42%	2.48%	2.62%	2.60%	2.47%	

EBIT / Total Assets											
	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26	
EBIT	₹ 4,137.05	₹ 4,118.00	₹ 4,524.57	₹ 5,462.18	₹ 4,448.79	₹ 4,723.52	₹ 5,092.77	₹ 7,573.78	₹ 10,427.98	₹ 8,881.22	
Total Assets	₹ 82,829.00	₹ 81,891.00	₹ 84,073.00	₹ 89,674.00	₹ 98,655.00	₹ 1,12,551.00	₹ 1,28,097.00	₹ 1,39,055.00	₹ 1,56,193.00	₹ 1,74,564.00	
EBIT / Total Assets (C)	4.99%	5.03%	5.38%	6.09%	4.51%	4.20%	3.98%	5.45%	6.68%	5.09%	

Market Cap / Long Term Liabilities											
	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26	
Market Cap	₹ 24,451.26	₹ 21,380.76	₹ 19,973.42	₹ 8,890.61	₹ 33,008.94	₹ 76,296.21	₹ 60,822.77	₹ 1,26,025.42	₹ 1,20,015.07	₹ 1,21,086.07	
Long Term Liabilities	₹ 48,815.00	₹ 48,589.00	₹ 48,506.00	₹ 51,936.00	₹ 46,708.00	₹ 51,195.00	₹ 52,923.00	₹ 53,689.00	₹ 62,866.00	₹ 76,141.00	
Market Cap / Long Term Liabilities (D)	50%	44%	41%	17%	71%	149%	115%	235%	191%	159%	

Sales / Total Assets											
	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26	
Sales	₹ 27,587.59	₹ 26,840.27	₹ 29,881.06	₹ 29,136.37	₹ 32,703.31	₹ 42,815.67	₹ 55,109.08	₹ 61,448.90	₹ 65,478.24	₹ 62,428.59	
Total Assets	₹ 82,829.00	₹ 81,891.00	₹ 84,073.00	₹ 89,674.00	₹ 98,655.00	₹ 1,12,551.00	₹ 1,28,097.00	₹ 1,39,055.00	₹ 1,56,193.00	₹ 1,74,564.00	
Sales / Total Assets (E)	33.31%	32.78%	35.54%	32.49%	33.15%	38.04%	43.02%	44.19%	41.92%	35.76%	

Altman's Z Score											
	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26	
Final Score	0.86	0.92	0.94	0.78	0.96	1.44	1.32	2.04	1.81	1.55	
Financial Stability	Distress	Distress	Distress	Distress	Distress	Distress	Distress	Grey Zone	Distress	Distress	

NOTE:-
Tata Power's Altman Z-Score shows 'Distress' classification in most years despite the company carrying CRISIL AA+/Stable and ICRA AA+/Stable credit ratings high investment-grade, indicating low default risk. This divergence reflects a known limitation of the original 1968 Altman model, which was calibrated on manufacturing firms. Two of its five ratios are structurally unfavorable for capital intensive regulated utilities:
(1) Asset Turnover (Sales/Total Assets) is naturally low given the large fixed-asset base relative to revenue;
(2) high leverage normal and low-risk for a utility with regulated, tariff-based cash flows is penalized the same way it would be for a cyclical manufacturer.